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TAB 19



Board of Education Report

File #: Rep-155-25/26, **Version:** 1

Agenda Date: 11/18/2025

In Control: Facilities

Selection of Charter Operator to Lease the School Facility Located at 1215 Miramar Street, Los Angeles, CA 90026 and Authorization to Negotiate and Execute Agreements

Facilities Services Division

Brief Description:

(Selection of Charter Operator to Lease the School Facility Located at 1215 Miramar Street, Los Angeles, CA 90026 and Authorization to Negotiate and Execute Agreements) Recommends to approve the selection of Los Angeles Academy for Arts and Enterprise (LAAAE) as the charter operator for the Central Los Angeles High School #12 (CLAHS#12) school facility, located at 1215 Miramar Street, Los Angeles, CA 90026 (Miramar Site), and enter into any reasonable agreements for the transaction to allow LAAAE to operate the Miramar Site.

Action Proposed:

Approve the selection of LAAAE as the successful proposer, pursuant to the court-ordered Request for Qualifications (RFQ) for the Miramar Site, and authorize the Chief Facilities Executive and/or her designee(s) to negotiate and execute the Charter School Facilities Program (CSFP) Memorandum of Understanding (CSFP MOU), a Lease and Joint Use Agreement (Lease) and any other reasonable instruments to effectuate this transaction, including, but not limited to, a Development Agreement to allow for repairs to the Miramar Site.

Background:

In 2005, the Los Angeles Unified School District (Los Angeles Unified or District) intended to develop the 1.37-acre District-owned property, now known as the Miramar Site, into a 19-classroom, 500-seat high school to relieve overcrowding at Belmont High School, formerly known as the CLAHS #12 Project (Project). In 2007 Los Angeles Unified unfunded 18 new construction projects as those projects were no longer needed for Districtwide two-semester operation, which included the CLAHS #12 Project.

In 2009, Los Angeles Unified designated CLAHS #12 for charter school operations to address the increasing demand for secondary charter school facilities within the Belmont High School attendance area. Los Angeles Unified initiated a process to select a charter operator to fund the construction and operation of CLAHS #12.

In 2010, a Request for Proposals (RFP) was issued to identify a charter operator for the Miramar Site. In 2012, Los Angeles Unified authorized the execution of a long-term lease and related instruments with Camino Nuevo Charter Academy (Camino Nuevo), the charter operator selected as part of the RFP process. As part of this transaction, Camino Nuevo was required to finance the construction of the CLAHS#12 Project at the Miramar Site. Camino Nuevo provided CSFP financing of \$21.9 million, which included a \$10 million State CSFP loan. The CSFP funding required Los Angeles Unified to enter into the CSFP MOU with Camino Nuevo and the State. The cost to construct the Miramar Site was approximately \$30.8 million and Los Angeles Unified funded approximately \$5.14M with charter bond program funds.

The Project was constructed in 2013, and Camino Nuevo began operating the Miramar Site under a 40-year

lease as of July 1, 2013. After approximately seven and a half years, Camino Nuevo's board voted to close the school effective June 30, 2021, due to declining enrollment and an inability to meet its financial obligations.

Pursuant to the CSFP MOU requirements, if a charter ceases operation in a CSFP-funded facility, Los Angeles Unified must:

1. Afford the charter up to six months if under revocation or non-renewal review;
2. Make reasonable efforts to identify a qualifying successor charter school; or
3. Operate the site as a District school and assume repayment of the CSFP loan, or declare the site surplus and dispose of it per State law.

Los Angeles Unified issued a Notice of Intent (NOI) on March 18, 2021, to solicit proposals for a successor charter school. On June 8, 2021, the Board approved Alliance College Ready Public Schools (Alliance) as the successor operator, however, Alliance later withdrew. Los Angeles Unified and the State subsequently issued an RFQ in December 2021. However, the RFQ was subsequently cancelled in October 2022 before Ednovate Charter School could be authorized as the successor operator.

In 2022, the State filed suit against Los Angeles Unified. As a result of the litigation, in late 2024 the court ordered that a new RFQ be issued and on July 1, 2025, Los Angeles Unified released the court-ordered RFQ for the Miramar Site. The new RFQ was developed in conjunction with the State and contained substantially the same requirements as the previous RFQ, including:

1. A minimum enrollment of 425 students, or demonstrated ability to reach an enrollment of 425 by July 1, 2026;
2. An agreement by the proposer to assume the outstanding CSFP loan balance (approximately \$8.08 million) (CSFP Loan);
3. Demonstration of financial soundness under CSFP Program Regulations Section 10154 (Financial Soundness); and
4. Execution of a Lease with the District for the remaining 32-year CSFP lease term for the Miramar Site.

The RFQ also provided an opportunity for a proposer to reimburse the District for \$750,000 in costs previously incurred by Camino Nuevo for the operation and maintenance of the Miramar Site (M&O Costs).

LAAAE submitted the only proposal in response to the RFQ. The State reviewed LAAAE's financial records and projections and determined that LAAAE meets the threshold of Financial Soundness and can meet its financial obligations pursuant to its proposal, including, assuming the CSFP Loan, payment of the pro-rata share pursuant to the Lease, payment to the District of the M&O Costs, and the financial means to make necessary repairs to the facility prior to occupancy. While LAAAE's current enrollment is below the 425-student threshold established in the RFQ, the State believes LAAAE can reach enrollment of 429 by July 1, 2026, based on the documentation and explanation submitted by LAAAE. The State believes LAAAE demonstrates program growth and fiscal stability and the State sought and obtained approval of Financial Soundness on September 25, 2025, from its governing board.

LAAAE has agreed to sign the necessary agreements with the State and the District, and committed to satisfy all State and Los Angeles Unified requirements, including paying \$750,000 for the M&O Costs within 60 days of signing the agreements. LAAAE has no current pending or filed legal issues, claims, causes of action, lawsuits, or disputes against the State or Los Angeles Unified and the State and Los Angeles Unified do not have any against LAAAE.

LAAAE is an independent charter school authorized by the Board on August 2004 for a maximum of 500 students in 6th through 12th grades. LAAAE's latest charter petition was renewed on March 2020 for a term of five (5) years. Due to COVID, the term of its charter petition was legislatively extended for three (3) additional years, which extended LAAAE's charter petition to June 30, 2027. LAAAE has been in operation since 2005 and serves a large population of underprivileged students and 12% of its student population qualifies for Special Education. LAAAE has operated on the Roybal Learning Center campus (Roybal) and is currently co-located at the Belmont High School campus. LAAAE proposes to serve up to 500 students in 6th through 12th grade at the Miramar Site. Although LAAAE will not be able to occupy the Miramar Site until the necessary repairs have been completed, which requires District plan review and approval, LAAAE has agreed to:

1. Sign all necessary agreements upon 45 days following approval by the Board;
2. Pay the \$750,000 outstanding M&O Costs within 60 days;
3. Begin making payments on the CSFP Loan per the terms negotiated with the State.

LAAAE is expected to occupy the Miramar Site and relocate from Belmont High School as soon as feasible in the 2026-2027 school year. Upon execution of the agreements and other reasonable instruments, the Miramar Site will be LAAAE's responsibility to secure and maintain. Upon occupancy, for the first three (3) years, Los Angeles Unified will maintain the Miramar Site at LAAAE's sole cost and expense. Thereafter, LAAAE may elect to assume the maintenance obligations by notifying Los Angeles Unified in writing of their election, and LAAAE must adhere to Los Angeles Unified's maintenance standards and requirements. Additionally, LAAAE will waive its Proposition 39 rights (as codified at Ed. Code Section 47614, and Title 5, California Code of Regulations, Section 11969.1-11969.9 or otherwise) (Prop. 39) for the term of the Lease.

The Miramar School Site is located within the boundaries of MacArthur Park Community of Schools, Local District Central, and Board District 2 (Rocio Rivas).

Expected Outcomes:

Approve the selection of LAAAE as the successor charter school to occupy the Miramar Site and authorize staff to negotiate and execute reasonable agreements for the occupancy and maintenance of the facility.

Board Options and Consequences:

A "yes" vote by the Board will authorize the Chief Facilities Executive or her designee to negotiate and execute the Lease and any other reasonable agreements for LAAAE's operation of a 6th - 12th grade program and to effectuate this transaction, including, but not limited to, the CSFP MOU and a Development Agreement to allow for LAAAE to make repairs to the Miramar Site. LAAAE will be able to relocate its program from its co-located space at Belmont High School to the Miramar Site and Los Angeles Unified will be able to collect the M&O Costs. Additionally, Los Angeles Unified will no longer be responsible for the security and maintenance of the Miramar Site which has cost Los Angeles Unified over \$1,050,000 to date.

A "no" vote without a just excuse would violate the court's order and likely subject the District, the Board and the Superintendent to civil penalties and possibly even harsher criminal penalties for continued non-compliance. A "no" vote would also prevent LAAAE from operating, occupying, repairing and maintaining the Miramar Site, as well as from assuming the associated financial obligations owed to the State. If the proposal is not approved Los Angeles Unified would continue to incur security and maintenance costs for the Miramar Site. LAAAE would still be eligible to request classroom space under Prop. 39 and may continue to be co-located at Belmont High School. Los Angeles Unified will also not be able to collect the \$750,000 in M&O Costs and the State will not be able to collect the CSFP Loan. Additionally, the District would be required to issue a new RFQ to comply with the court's order.

Policy Implications:

This action does not alter existing Los Angeles Unified policy. However, Camino Nuevo's default on its CSFP-related obligations to the State and the District is the first known default under a CSFP agreement tied to a Los Angeles Unified property, necessitating the successor-operator process and associated State oversight.

Budget Impact:

The activities associated with negotiating and executing agreements with LAAAE will require staff time from the Facilities Services Division and the Office of the General Counsel, however, no additional funding is needed to implement this action.

Upon Board approval and execution of agreements, the Los Angeles Unified will receive a \$750,000 lump-sum reimbursement for the M&O Costs for the Miramar Site, to be deposited into the General Fund. Los Angeles Unified will be able to cease securing and maintaining the Miramar School Site which will result in savings of over \$20,000 per month.

Student Impact:

By relocating to the Miramar Site, LAAAE would provide its students with access to on-site facilities including a library, multi-purpose room, and a fully equipped food services kitchen, as well as adjacent physical education spaces at Miguel Contreras Learning Complex (MCLC). Upon occupancy of the Miramar Site, LAAAE intends to relocate from its current locations and operate the program at the Miramar Site.

Equity Impact:

Not applicable.

Issues and Analysis:

The Miramar Site was heavily vandalized and damaged during the time that it has been vacant. LAAAE will not be able to occupy the Miramar Site until the facility is repaired and is safe to occupy. LAAAE will be responsible for paying for the costs to repair the facility to meet, among others, Los Angeles Unified's standards and specifications.

In order to qualify as the successor charter school, and assume payment of the outstanding CSFP Loan, LAAAE must meet the State's criteria for Financial Soundness. The court-ordered RFQ requires that LAAAE meet a minimum enrollment of 425 students or demonstrated ability to grow to an enrollment of 425 by July 1, 2026. LAAAE has provided information detailing how it intends to grow to 425 students. The State determined that LAAAE has met the threshold of Financial Soundness and is able to assume the CSFP Loan which was approved at the September 25, 2025 meeting of the Charter School Finance Authority. In addition to being able to pay for the CSFP Loan, the State determined LAAAE is also able to meet its financial obligations under the Lease, pay the M&O Costs in the amount of \$750,000 and pay for the repairs to the Miramar Site. The shared goal of the State and Los Angeles Unified is to select a qualifying successor charter school and implement assumption of the CSFP Loan upon Board approval and execution of the Lease and other necessary agreements.

If the Board approves the selection of LAAAE and authorizes the Chief Facilities Executive, and/or designee (s), to execute the Lease and any other reasonable instruments, staff will proceed to negotiate and execute the required documents with LAAAE, including terms reflecting assumption of the CSFP Loan and payment of the \$750,000 M&O Costs to the Los Angeles Unified.

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Subject to final Lease terms, Los Angeles Unified will provide site maintenance and operations at LAAAE's cost pursuant to Los Angeles Unified standards, with the option for LAAAE, after an initial transition period, to self-perform M&O in accordance with Los Angeles Unified standards and at its sole expense. LAAAE will also reimburse the Los Angeles Unified for its proportionate share of costs associated with use of MCLC physical education facilities.

Attachments:

None

Submitted:

10/23/25

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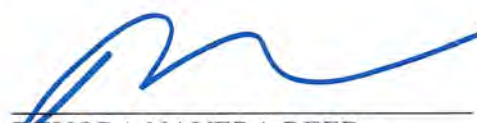
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